

Settlement Distribution Procedure

Internal policy / SOP - for demo purposes only

1. Purpose

This procedure governs the distribution of settlement proceeds in personal-injury matters, including the satisfaction of medical liens, attorney fees, and disbursement to the client.

2. Receipt of Settlement Funds

Settlement funds are received by the firm's IOLTA trust account. The funds may not be disbursed until: (a) the signed settlement agreement and release is received; (b) all settlement checks have cleared; (c) the client distribution sheet is approved by the responsible attorney and signed by the client.

3. Lien Satisfaction Hierarchy

Liens against settlement proceeds must be satisfied in the following order: (1) Medicare / Medicaid statutory liens (federal supremacy), (2) ERISA plan liens with clear plan-document language, (3) state-law medical provider liens, (4) hospital liens under the Illinois Hospital Lien Act, (5) contractual liens from health-care providers, (6) any other contractual claims. All liens must be verified in writing before payment.

4. Medicare / Medicaid Compliance

Medicare and Medicaid liens require special procedural compliance. The Medicare Set-Aside and Conditional Payment Letter must be obtained before disbursement. Failure to satisfy a Medicare lien may expose the firm and the client to recovery actions plus penalties. Medicaid liens are governed by state law and must be similarly verified before disbursement.

5. Unpaid Medical Liens

Any unpaid medical liens must be negotiated before final disbursement. The firm's standard practice is to seek a reduction proportionate to the attorney-fee percentage (commonly 33% to 40%) under the common-fund doctrine. All lien negotiations must be documented and approved in writing.

6. Attorney Fees and Costs

Attorney fees are calculated per the signed contingency agreement, generally one-third of the gross settlement for cases resolved before suit and 40% for cases requiring litigation. Costs (filing fees, medical-record requests, expert fees, investigator costs) are reimbursed from the gross settlement before the fee is calculated, unless the engagement agreement specifies otherwise.

7. Client Distribution Sheet

Before any disbursement, a written distribution sheet shall be prepared listing: gross settlement, attorney fee, costs, each lien with payee and amount, and net to client. The client must sign and acknowledge the distribution sheet before funds are released. A copy of the signed sheet shall be retained in the case file.

8. Release Agreements

Final settlement requires the client to sign a release agreement. The attorney must review the release with the client before signature, paying particular attention to: scope of release (matters and parties covered), confidentiality and non-disparagement clauses, indemnification provisions, and any restrictions on future legal action. Restrictive covenants must be flagged for explicit client acknowledgment.

9. File Closure

Following disbursement and signed release, the file is closed. The case file must be preserved for the duration required by ARDC rules -- generally seven years from the date of file closure for matters involving funds held in trust.